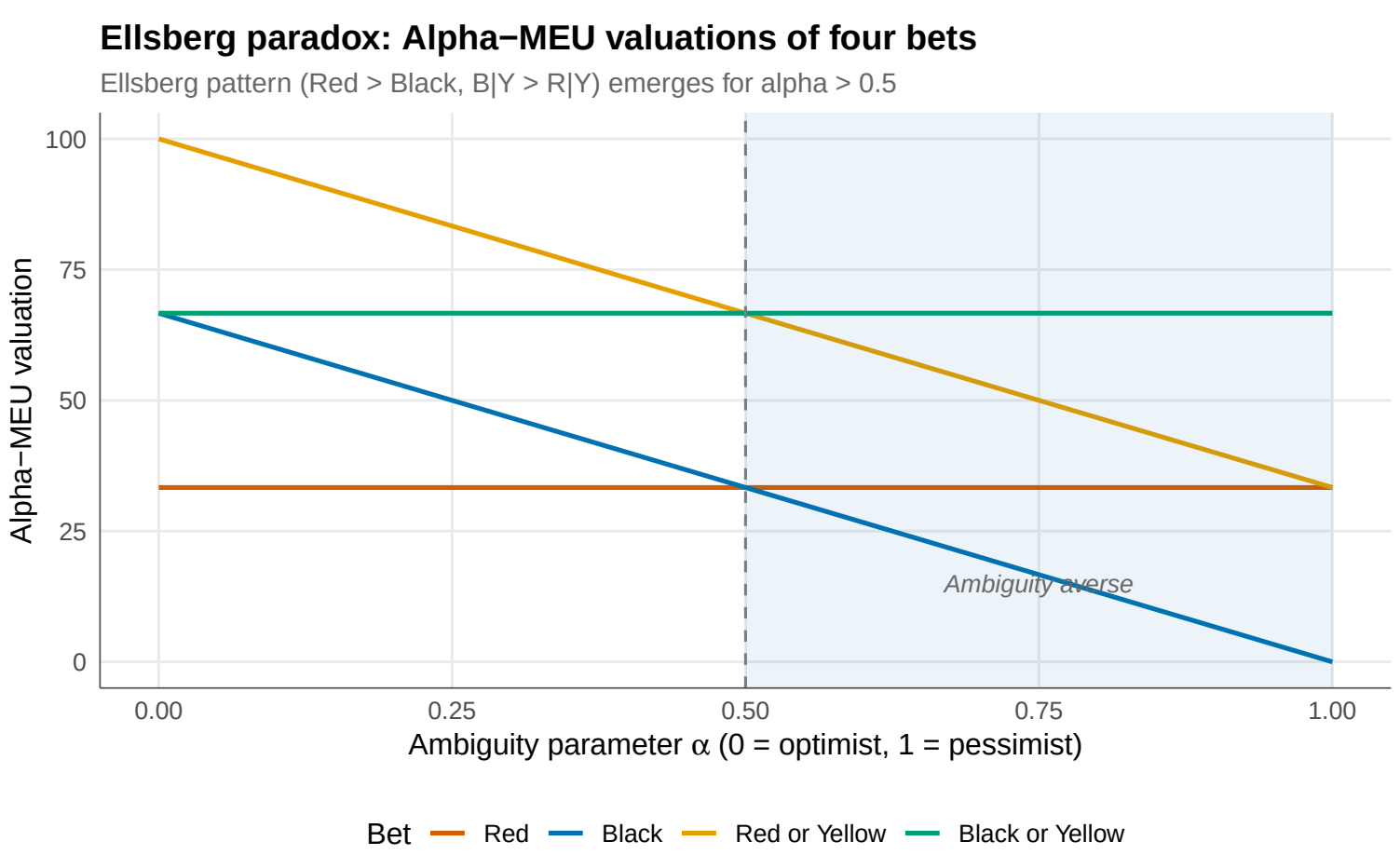
Ellsberg paradox: Alpha−MEU valuations of four bets
Ellsberg pattern (Red > Black, B|Y > R|Y) emerges for alpha > 0.5
100
75
50
25
0
Alpha−MEU valuation
Ambiguity averse
0.00
0.25
0.50
0.75
1.00
Ambiguity parameter α (0 = optimist, 1 = pessimist)
Bet
Red
Black
Red or Yellow
Black or Yellow